ACF · Budgets and performance control — Question Patterns and Methods

Based on 30 past-exam parts, 6 exam years (2020–2025), their marking keys and the examiners' reports.

First: where marks are lost most

- Extended-answer case detail is missing. The reports say answers lacked depth and specificity, did not refer to the stimulus material and used little accounting terminology. The 2020 EA Q22 keys reward figures and named case items, not general statements.
- Command words are not followed. The reports say some candidates lacked an understanding of the glossary of key words (the report names identify, describe, explain and justify). Keys give marks per point, and a bare fact earns only part of the mark when an explanation is required (2021 SA Q17(b), 2020 EA Q22(a)).
- Non-cash items and accrual adjustments are left in cash budgets. Keys remove non-cash items and adjust for accruals line by line: 2024 SA Q16(b) covers depreciation, loss on disposal and accrued wages, and 2022 SA Q18(b) covers depreciation.
- Accrual rules in the budgeted income statement are missed: accrued wages, the share of a prepaid insurance premium for the period, discount allowed in credit sales and gain on disposal (2023 SA Q17(a), 2021 SA Q17(a)).
- Variance direction and reasons are weak. The 2020 EA Q22(b) key gives separate marks for labelling each variance and for giving its reason, and the 2022 MC Q11 distractors test whether cost overruns are read as unfavourable.
- Time is lost in Section Three. The reports say fewer candidates attempted each later part of Question 21, from part (a) to part (e), which may reflect poor time management.

Pattern 1: Explain master-budget components and purposes

How often: 4/6 papers · 5.2 marks when it appears · 1.5% of a paper.

Recognise it: Asks which budgets make up a master budget, or what a budget set helps a business do (plan, coordinate, control). Multiple-choice stems distract with "past performance" wording. Case-linked versions ask which budgets would help a named company see problems before they occur.

Method

1. Read the command word. Identify needs names only; describe and explain need a fact and its link to the business.
2. Name the three groups of a master budget: operating budgets (sales, purchases, expenses, cash), capital expenditure budgets, and financial budgets (budgeted income statement, budgeted balance sheet, cash budget).
3. For a purpose question, state the purpose (planning, coordination, control, or early warning) and say what management does with it.
4. For a case question, pick a budget that fits the problem in the stimulus and say what it would show.
5. Earn one mark per point, using the business's name and figures.

What the key rewards: Naming three valid components (operating, capital expenditure, financial) for the identify marks. For purposes, explaining how the budget supports planning, coordination or control, or future resource decisions. For a budgeted income statement, the purpose of testing whether expectations are realistic, highlighting problems such as low sales or excess expenses, and comparing budget with actual results. Some keys give one mark for a bare relevant fact, but the full allocation needs the explanation.

Common errors: Treating a budget as a record of past performance. Listing components without explaining what they do for the business. Giving a generic purpose with no link to the case.

Past questions: 2024 MC Q2, 2023 SA Q17(b), 2023 EA Q21(b), 2022 EA Q21(a), 2021 MC Q8, 2021 SA Q17(b)

Pattern 2: Prepare forecast customer collections

How often: 3/6 papers · 11.3 marks when it appears · 2.5% of a paper.

Recognise it: "Prepare a schedule of collections from debtors" or a debtors' schedule, usually feeding a cash budget. The stimulus gives monthly sales, a cash and credit split, collection percentages by month, and sometimes a discount for prompt payment.

Method

1. Set up one row per sales month, starting early enough to capture collections that fall in the forecast period.
2. Split each month's total sales into cash sales and credit sales using the credit proportion. Cash sales are received in the same month.
3. Spread each month's credit sales across the months they are collected, using the stated percentages. Lags can be one month or several (one key uses a four-month lag).
4. If a prompt-payment discount applies, apply the retention factor to the amount received, for example 98.5% for a 1.5% discount. Round as the stem asks.
5. Add the collections from each month's sales to get total debtor collections for each month, and carry them into the cash budget.
6. Check that collections plus closing debtors reconcile to credit sales.

What the key rewards: For the 10-mark schedule, one mark per step: using each month's total sales, calculating each month's credit sales, and calculating each lagged collection (for example, January collections from December credit sales and February collections from January credit sales). For the cash budget, recording cash sales and each month's debtor collections. For the older schedules, applying the discount factor to each month's collections.

Common errors: Using total sales where credit sales are needed (the key awards these as separate steps). Missing a collection lag, especially the longer one. Forgetting the discount factor. Not rounding as instructed.

Past questions: 2025 SA Q20(a), 2025 SA Q20(b), 2024 SA Q16(a), 2024 SA Q16(b), 2022 SA Q18(a), 2022 SA Q18(b)

Pattern 3: Prepare forecast creditor payments

How often: 3/6 papers · 3.0 marks when it appears · 0.7% of a paper.

Recognise it: Usually a line in a cash budget. The stem gives purchases on credit each month and payment terms, and asks for payments to trade creditors.

Method

1. List credit purchases for each month, including earlier months whose payments fall in the forecast period.
2. Apply the payment terms: a portion paid in the month after purchase and the rest later, or the stated lag.
3. Total the payments falling due in each month, tracking which purchase month each payment comes from.
4. Exclude items that are not creditor payments, such as non-cash items and capital purchases (see Pattern 5).
5. Carry the total into the cash budget as creditor payments.

What the key rewards: One mark for each payment identified by origin month and month paid. For example, March purchases paid in May, the April purchases split between May and June, and May purchases paid in June. The key also awards the monthly totals.

Common errors: Paying purchases in the month they are bought. Mixing up which portion belongs to which purchase month. Counting capital purchases as creditor payments.

Past questions: 2025 SA Q20(b), 2024 SA Q16(b), 2022 SA Q18(b)

Pattern 4: Calculate forecast operating cash payments

How often: 3/6 papers · 10.0 marks when it appears · 2.2% of a paper.

Recognise it: The stem gives wages, rent, insurance, electricity, interest or selling and administration expenses over a period that does not match a month, such as an annual figure or a two-month period. It may include accrued wages, or depreciation and a loss on disposal that must be removed.

Method

1. Convert each expense to the budget period: divide annual figures by 12 for a month, and multiply by the number of months when the period is longer. For wages of several staff, multiply the annual wage by the number of staff before dividing by 12.
2. Adjust for timing. Start from wages paid or expense incurred, then add or deduct accrued wages (opening and closing) as the stem states.
3. Remove non-cash items: depreciation and loss on disposal are never cash payments.
4. For variable expenses, apply the rate to the base the stem names, usually the sales of the same month.
5. For interest, multiply the principal by the annual rate and divide by 12 for each month.
6. Place each payment in the month it is paid and total the cash payments.

What the key rewards: Converting annual wages to a monthly amount: the annual wage times the number of staff, divided by 12 ($15,000 × 3 ÷ 12 = $3,750). Pro-rating electricity for the period. Recording rates and taxes and insurance in the month paid. Deducting the stated adjustment from other expenses. Fixed selling expenses, variable selling expenses at the stated rate on monthly sales, finance expenses and interest at 7% on $6,000 divided by 12. Accrued wage adjustments and removing depreciation from cash expenses.

Common errors: Leaving depreciation or a loss on disposal in cash expenses. Failing to pro-rate a period cost. Missing the accrued wage adjustment. Applying a percentage to the wrong sales base. Not dividing annual interest by 12.

Past questions: 2025 SA Q20(b), 2024 SA Q16(b), 2022 SA Q18(b)

Pattern 5: Record forecast capital and financing cash movements

How often: 3/6 papers · 3.0 marks when it appears · 0.7% of a paper.

Recognise it: The stem mentions an asset purchase, sale of plant or a vehicle, additional capital from the owner, a bank loan, a share issue or drawings, and asks for these in the monthly cash budget.

Method

1. Scan the stem for every non-operating cash item and note the month it occurs.
2. Asset purchases are an outflow in the month they are paid.
3. Asset disposals are an inflow equal to the sale proceeds, not the asset's cost or carrying amount.
4. Owner contributions and loans are inflows in the month received.
5. For shares, record the net proceeds: gross proceeds less share issue costs.
6. Drawings are an outflow in each month they are taken.
7. Put each item in the correct month column. Interest on a loan is an operating payment (Pattern 4), not a financing item.

What the key rewards: One mark for each item in the correct month: additional capital in March, the loan received in February, gross share proceeds less issue costs for net proceeds, the vehicle purchase in March, and monthly drawings. For older parts, the plant sale proceeds in November, the plant purchase, and the equipment purchase in May.

Common errors: Recording gross share proceeds instead of net. Recording the plant's cost or carrying amount instead of sale proceeds. Putting an item in the wrong month. Omitting drawings from some months.

Past questions: 2025 SA Q20(b), 2024 SA Q16(b), 2022 SA Q18(b)

Pattern 6: Calculate and carry cash-budget balances

How often: 3/6 papers · 1.3 marks when it appears · 0.3% of a paper.

Recognise it: A cash budget that asks for the closing balance for each month. An overdraft or negative opening balance appears in brackets.

Method

1. Enter the opening cash for the first month from the stem, keeping its sign. An overdraft is negative and is written in brackets.
2. Total the receipts (cash sales, collections, capital, loans, share proceeds) and the payments (creditors, operating payments, asset purchases, drawings).
3. Closing balance = opening balance + receipts − payments.
4. Carry the closing balance forward as the next month's opening balance.
5. Check the sign and brackets on every balance.

What the key rewards: The correct opening balance for the first month, including a negative one shown in brackets, and the opening balance for each later month taken from the previous closing balance.

Common errors: Losing the sign of a negative balance. Not carrying the closing balance forward. Using the wrong opening figure.

Past questions: 2025 SA Q20(b), 2024 SA Q16(b), 2022 SA Q18(b)

Pattern 7: Prepare a budgeted income statement

How often: 3/6 papers · 14.7 marks when it appears · 3.2% of a paper.

Recognise it: "Prepare a budgeted income statement for [period]" on the accrual basis. The stem gives cash receipts, opening and closing debtors, inventory, accrued wages, prepayments, and asks for profit before tax and income tax.

Method

1. Accrual sales: start from cash receipts from debtors, add the discount allowed and closing debtors, and deduct opening debtors. This gives credit sales. Add cash sales for total sales.
2. Cost of sales = opening inventory + purchases − closing inventory.
3. Gross profit = sales − cost of sales.
4. Other income: include interest income (principal × rate × months ÷ 12) and any gain on disposal (sale proceeds − carrying amount, where carrying amount = cost − accumulated depreciation).
5. Expenses on the accrual basis: wages paid adjusted for opening and closing accrued wages; insurance for only the part of the premium that belongs to the period; advertising spread over the campaign months; rent and interest for the period; depreciation.
6. Profit before tax = gross profit + other income − expenses.
7. Income tax at the stated rate on profit before tax. Profit after tax = profit before tax − tax.
8. Round as the stem asks.

What the key rewards: For the 25-mark statement, about 25 points: the accrual sales reconciliation (receivables, discount, cash sales), cost of sales, the gain on the oven disposal from cost less accumulated depreciation, term-deposit interest, advertising spread over three months, depreciation, insurance for two months of a twelve-month premium, term-loan interest, rent, wages with the accrued amount, web costs, and tax at 30% of profit before tax. The 22-mark statement awards the same kinds of adjustments (interest income over the period, pro-rated rent, selling expense as a percentage of sales, interest expense and the tax calculation).

Common errors: Mixing cash and accrual figures, for example using cash wages paid without the accrual. Using the full insurance premium instead of the period's share. Calculating the gain on disposal from cost rather than carrying amount. Applying tax to the wrong base. Not pro-rating periodic costs. Using the wrong sign for closing inventory in cost of sales.

Past questions: 2024 MC Q4, 2023 SA Q17(a), 2021 SA Q17(a)

Pattern 8: Interpret performance reports and budget variances

How often: 2/6 papers · 6.0 marks when it appears · 0.9% of a paper.

Recognise it: Asks which items are favourable or unfavourable, or the purpose of performance reports, or comments on variances in cost of sales or receipts from debtors. The stimulus gives a table of actual and budget figures.

Method

1. Set actual against budget for each line.
2. Work out the difference: actual − budget.
3. Label the variance. For receipts, revenue and profit lines, actual above budget is favourable and below is unfavourable. For costs and payments, actual above budget is unfavourable and below is favourable.
4. For each variance, give a possible cause drawn from the case facts, for example a fall in cash sales or a rise in credit sales.
5. Give a management response: investigate the cause, adjust planning, or control the cost.

What the key rewards: For multiple-choice items, the variance that is favourable (receipts above budget, a cost below budget). For short answer, one mark for the purpose of performance reports (comparing actual with budget and supporting control), one mark for identifying each variance and its direction, and one mark for each reasoned cause or management investigation. Some keys give separate marks for labelling and for reasons.

Common errors: Reversing favourable and unfavourable for cost lines. Naming a variance without a reason, which earns only part of the mark. Giving a generic reason not taken from the table. Omitting the management response.

Past questions: 2022 MC Q2, 2022 MC Q11, 2020 EA Q22(a), 2020 EA Q22(b)

Pattern 9: Interpret a cash budget and recommend action

How often: 2/6 papers · 6.0 marks when it appears · 0.9% of a paper.

Recognise it: "Explain two issues revealed by the cash budget" or "describe courses of action" to prevent a predicted shortfall. The cash budget shows a negative balance or a large surplus.

Method

1. Scan the closing balances for shortages (negative months) and surpluses (large positive months).
2. For each issue, state the month and amount, then explain the business effect: unable to pay creditors or wages, interest or overdraft costs, or idle cash.
3. Link the cause to the case, for example purchases that are high relative to sales, or the timing of capital contributions.
4. For a shortfall, describe one practical action that closes the gap and its effect: a short-term overdraft or loan, delaying non-current asset purchases, or negotiating longer terms with creditors.
5. For a surplus, explain its implication, for example an earlier capital contribution could avoid a loan and its interest.

What the key rewards: For the explain question, one mark for each explained issue: the shortages in January and February and their effect, the surplus in March and its implication, purchases that sales do not justify, and how earlier capital or an earlier contribution could avoid loan interest. For the describe question, one mark for each distinct action: a short-term overdraft, a short-term loan, delaying non-current asset purchases, or negotiating longer creditor terms.

Common errors: Describing a shortage without its effect. Recommending a financing response that does not fit the case. Not linking purchases to sales. Giving two versions of one action when three distinct actions are asked for.

Past questions: 2025 SA Q20(c), 2022 SA Q18(c)

Pattern 10: Evaluate business planning and stakeholder consequences

How often: 3/6 papers · 7.0 marks when it appears · 1.5% of a paper.

Recognise it: "Explain the importance of business planning", "comment on financial reasons", "describe non-financial factors" or "identify costs" for a stated decision such as closing stores or an expansion.

Method

1. Name the decision and the case facts it rests on: profits, sales, cost pressures, expansion plans.
2. For the importance of planning, link planning to resource allocation, cash management, risk reduction and goals, using the case.
3. For financial reasons, tie each reason to a specific figure (losses, sales, costs) and its effect on profit.
4. For non-financial factors, name the stakeholder (customers, employees, investors or the community) and the consequence.
5. For the costs of an expansion, identify specific costs in the stimulus. Do not generalise.
6. Keep every answer specific to the case figures.

What the key rewards: For planning importance, explaining how planning helps the company allocate resources, manage cash, reduce risk or pursue goals, and how it anticipates low-cash periods. For the financial reasons, weak profits despite higher sales, cost and consumer pressures, and closing unprofitable stores to lower costs. For non-financial factors, customers moving to competitors, effects on staff morale and job security, and investor confidence. For expansion, three specific costs (3 marks) and the explanation of planning's importance (3 marks).

Common errors: Generic planning answers with no case reference, which the reports criticise. Naming costs without linking them to the expansion. Giving a financial reason when a non-financial one is asked for. Ignoring the figures in the stimulus.

Past questions: 2024 EA Q22(a), 2023 EA Q21(c), 2020 EA Q21(b), 2020 EA Q21(c), 2020 EA Q22(f)

Pattern 11: Apply cost leadership and differentiation strategies

How often: 5/6 papers · 2.0 marks when it appears · 0.7% of a paper.

Recognise it: Multiple choice asks which strategy fits a description. Short answer asks to describe both strategies and recommend one, or to suggest a strategy for a case business.

Method

1. Define cost leadership: offering products at lower prices than competitors by reducing costs or inefficiency.
2. Define differentiation: making a product or service distinct from competitors in a way customers value. It is not simply a different price.
3. For multiple choice, match the description and reject distractors that confuse market share with strategy or treat differentiation as a price change.
4. For a recommendation, choose the strategy that suits the case (a price-sensitive market and cost control favour cost leadership; distinctive products that customers value favour differentiation) and give one case-based reason.
5. For a suggestion, name one concrete strategy that addresses the business's problem.

What the key rewards: For the description, one mark each for cost leadership (reducing costs to offer lower prices) and differentiation (distinct in a valued way). For the recommendation, one mark for a case-related reason. For the suggestion, one mark for a strategy that would improve performance. Multiple-choice items award one mark for the matching answer.

Common errors: Confusing cost leadership with having the lowest market share. Thinking differentiation means charging a higher price. Recommending a strategy without a reason from the case.

Past questions: 2024 EA Q22(a), 2023 MC Q9, 2022 MC Q14, 2021 EA Q22(b), 2020 MC Q10

Pattern 12: Prepare a budget performance report

How often: 0/6 papers · n/a marks when it appears · n/a of a paper.

Recognise it: From the definition only: a request to prepare a cash-budget or budgeted-income performance report that compares actual and budget figures and calculates the variances. No past-exam parts in this pack show its wording.

Method (no past parts in the evidence; steps follow the definition and the variance method in Pattern 8)

1. Set out the actual and budget figures for each line in two columns.
2. Calculate each variance as actual − budget.
3. Label each variance favourable or unfavourable, using the direction rules in Pattern 8.
4. Present the variances with the budget and actual figures so that they can be compared.
5. Add a short comment on the largest variances and the management response.

What the key rewards: No key in the evidence pack, so there are no awards to list.

Common errors: None recorded in the reports. For variance direction errors, see Pattern 8.

Past questions: None in the evidence pack.